

ALLAMA IQBAL OPEN UNIVERSITY, ISLAMABAD
(Department of Commerce)

WARNING

1. **PLAGIARISM OR HIRING OF GHOST WRITER(S) FOR SOLVING THE ASSIGNMENT(S) WILL DEBAR THE STUDENT FROM AWARD OF DEGREE/CERTIFICATE, IF FOUND AT ANY STAGE.**
2. **SUBMITTING ASSIGNMENTS BORROWED OR STOLEN FROM OTHER(S) AS ONE'S OWN WILL BE PENALIZED AS DEFINED IN "AIOU PLAGIARISM POLICY".**

Assignment Submission Schedule			
6 credit Hours	Due Date	3 credit hours	Due date
Assignment 1	15-12-2026	Assignment 1	08-01-2027
Assignment 2	08-01-2027		
Assignment 3	30-01-2027	Assignment 2	20-02-2027
Assignment 4	20-02-2027		

Note: Tutorial schedule (Rehnama-e-Tulba) will available on AIOU website: <http://www.aiou.edu.pk>

Course: Principles of Accounting (438)

Semester: Autumn, 2026

Level: ADC

Please read the following instructions for writing your assignments. (SSC, HSSC & BA Programmes)

1. All questions are compulsory and carry equal marks but within a question the marks are distributed according to its requirements.
2. Read the question carefully and then answer it according to the requirements of the questions.
3. Late submission of assignments will not be accepted.
4. Your own analysis and synthesis will be appreciated.
5. Avoid irrelevant discussion/information and reproducing from books, and study guides of allied material.

Total Marks: 100
50

Pass Marks:

ASSIGNMENT No. 1

(Units 1–4)

Note: You are required to solve all questions; if you are unable to understand any question in the assignment, do seek help from your concerned tutor. But keep in mind that tutors are not supposed to solve the assignment questions for you.

- Q. 1** Define the term Account and describe the various classifications of Accounts in detail. **(20)**
- Q. 2** Mr. Noman started a sole proprietorship business. The business is newly established, and Mr. Noman hired an accountant to keep the journal updated. Suppose you are the accountant of Mr. Noman's business, and prepare the journal book for December, 2025. You are also required to post journal entries into the ledger and prepare the trial balance. Details of the transactions during December 2025 are given as follows: **(20)**

Dece.1. Mr. Noman commenced business with Cash of Rs. 5,200,000/- Building Rs.3, 500, 000/-

- 3. Purchased Goods with cash Rs. 400,000/-
- 6. Purchased furniture from Miss Hareem Rs. 350,000/-
- 9. Sold goods to Mr.M.NaeemRs. 120,000/-
- 15. Goods returned to Miss HareemRs.10, 000/-
- 18. Stationery Purchased Rs. 10,000/-
- 22. Returned goods to Mr.M.Naeem Rs.12, 000/-
- 26. Utility bills paid for the month Rs. 70,000/-
- 31. Rent paid for the month Rs. 50,000/-

- Q. 3** i. Define a journal and also explain in detail the objective and importance of a journal in the daily life of business. **(10+10)**
ii. What is meant by non- trading concerns? Differentiate between the receipts & payments account and the income & expenditure account.

- Q. 4** Mr. Abdullah purchased a second-hand machine on 1st January 2022 for Rs. 1,427,000 and immediately spent Rs. 122,000 on its repairs and Rs. 11,000 on its erection. On 1st July 2023, it purchased another machine for Rs. 510,000. Depreciation was provided for machinery @ 10% p.a. on the original cost annually on 31st December. In 2023, the company changed the method of providing depreciation and adopted the written down value method, with a rate of depreciation being 5% p.a. Give the atoner account for four years commencing from the acquisition of the first machine. Compute to the nearest paisa. **(20)**

Note: (Change method during the year from straight line to diminishing balance method)

- Q. 5** Mr. Zubair is running a sole proprietorship business. During August 2025, the following transactions were recorded. You are required to enter the transaction in the three-column cash Book. **(20)**

August 2025

- 2: Cash in hand Rs. 5300,000/-
- 2: Cash at Bank Rs. 722,500/-
- 3: Paid salaries Rs. 5,000/-
- 5: Purchased Machinery Rs. 135,000/-
- 8: Cash sales Rs. 67,500/-
- 12: Received a cheque from Mr. Farooq for Rs. 154,000 in full settlement of his account, Rs. 155, 000/-, and deposited it into the bank.
- 15: Payment to Mr. Furqan, cash Rs. 75,000/- and a cheque for Rs. 73,500
- 17: Cash purchases Rs. 25,500/-
- 20: Electricity bill paid by Bank Rs. 15000/-
- 23: . Kaleem by a cheque Rs. 70,000/-
- 30: Cash drawn from the bank for office use, Rs. 10,000/-

31: Cash drawn from the Bank for personal use Rs. 7,500/

Total Marks: 100
50

Pass Marks:

ASSIGNMENT No. 2
(Units 5–9)

- Q. 1** The following Trial Balance was extracted from the books of Ahmad traders on 30th June, 2025. From the given information, you are required to prepare a trading profit & loss account and balance sheet for the year ended on 30th June, 2025. **(20)**

Trial Balance on 30th June, 2025 as follows

Title of Accounts	Dr.(Rs.)	Cr.(Rs.)
Cash	570,000	
Account Receivable	190,000	
Merchandise inventory on 1 st July, 2016	60,000	
Plant and machinery	670,000	
Furniture and fixtures	820,000	
Capital		2,360,000
Account payable		38,000
Purchases return and allowances.		22,000
Purchases	600,000	
Discount on Purchases		6,000
Sales		700,000
Sales Return and Allowances	30,000	
Sales Discount	16,000	
Insurance Prepaid	10,000	
Advertisement Expenses	40,000	
Salaries Expenses	120,000	
Total Expenditure	3,126,000	3,126,000

Additional Information

- 1) Prepaid insurance on 30th June, 2025 is Rs.4,000/-
- 2) Outstanding salaries Rs. 15,000/-
- 3) Depreciation on plant and machinery @ 10% p.a
- 4) Merchandise inventory on 30th June, 2017 was valued at Rs.60,000/-

- Q. 2** i. Define partnership and discuss kinds of partners.
ii. If the profit earned during the last five years is Rs. 60,000, Rs. 62,000, Rs. 61,000, Rs. 55,000, and Rs. 60,000. Calculate the value of goodwill, under the average profit method, and 3-year purchase of the average profits of the last five years? **(10+10)**

- Q. 3** **Receipt and payments account** **(20)**

Receipts	Rs.	Payments	Rs.
Balance b/d	3000	Rent and rates	1200
Entrance fee	5000	Wages	1300
Subscription	2500	Lecture's fee	1700
Donation	20000	Electricity	500

Life membership fee	10000	Books	15000
Receipts from entertainment	1500	Office expenses	3800
		Entertainment exp.	1000
		Balance c/d	17500
	42000		42000

The accumulated fund of the society is Rs. 43000/-. Subscription in arrears is Rs.1500/-, rent is unpaid Rs. 800/-, depreciation is to be provided on books Rs. 2000/ and furniture Rs. 1000/-. The opening balance of books is Rs. 25000/- and the opening balance of furniture is 15000/-.

- Required:** i) Income and expenditure account
ii) Balance sheet

Q. 4 Mr. Zahid is the owner of a sole proprietorship business. During the month of December 2025, he opened a current account with Allied Bank Ltd. The following transactions were recorded. You are required to enter the transaction in the cash Book and in the passbook. **(20)**

2025

December 1. Mr. Zahid opened a current account with Allied Bank Ltd. for Rs. 6,000,000.

December 5. A cheque received from Noman Rs.50, 000 and deposited into the bank on the same day

December 11. Purchased furniture Rs. 70,000, paid by cheque.

December 17. Cash drawn from the bank for office use, Rs. 45,000.

December 19. Paid rent by cheque. 35,000.

December 21. Misc. expense debited by bank Rs. 40,000

December 25. Purchased goods from Mr. Asfer paid by cheque. 95,000.

December 30. Interest received from the bank Rs. 35,000.

- Q. 5** i. A, B and C share profit and losses in the ration of 6: 5: 3. D is admitted into partnership for a $\frac{1}{8}$ th share. Calculate the sacrificing ratio of A: B: C **(20)**
ii. At the time of admission of a new partner, on preparing the revaluation account, if there is a loss, then what entry should be passed to transfer the loss to the partner's capital account?
iii. If the actual profit of the business is Rs. 100,000 and the normal rate of return is 5%. Calculate the value of the whole business.
iv. State with reasons whether the following items of expenditure are capital or revenue.
a. Wages paid on the purchase of goods.
b. Land was purchased for Rs. 1,000,000, and Rs. 25000 were paid for legal expenses.
c. Old furniture was repaired at a cost of Rs. 5000
d. Compensation paid to workers for the termination of their services.